MAHATMA GANDHI UNIVERSITY, KOTTAYAM

SECOND SEMESTER MGU-UGP (HONOURS) EXAMINATION APRIL 2026

Second Semester

Discipline Specific Core Course- MG2DSCECO100 – ESSENTIALS OF ECONOMICS – II

(2024 ADMISSION ONWARDS)

Part A (1 × 10 = 10)

1. Adam Smith

2. Paul W. Glimcher

3. Reduced economic efficiency

4. Peer pressure

5. Minimum reserve system

6. Capital market

7. Financial Market

8. Economic recessions

9. Increasing government spending and reducing taxes

10. NNPMP

Part B – Short Answer Questions (3 × 10 = 30)

Answer any 10 questions. Each question carries 3 marks. Word limit: 50 words.

11. Moral Hazard & Asymmetric Information – Moral hazard arises due to asymmetric information where one party takes risks as the other bears the cost. [Hint: Give 1 mark for asymmetric information, 1 mark for moral hazard, 1 mark for linking both.]

12. Services of Financial Market – Mobilisation of savings, capital allocation, liquidity and risk sharing. [Hint: Give 1 mark each for any three correct services.]

13. Formal Financial Sector – Includes regulated institutions like banks and RBI functioning under legal framework. [Hint: Give 2 marks for definition, 1 mark for example.]

14. Income vs Expenditure Method – Income method sums factor incomes; expenditure method sums total spending (C+I+G+X-M). [Hint: Give 1.5 marks each for both methods.]

15. Adverse Selection – A situation where buyers/sellers exploit information advantage leading to poor-quality goods dominating. [Hint: Give 1 mark for definition, 1 mark for example, 1 mark for explanation.]

16. Role of Time in Decision Making – Decisions involve present vs future trade-offs and discounting. [Hint: Give 1 mark for concept, 1 mark for time aspect, 1 mark for explanation.]

17. Agency Function of Bank – Banks act as agents by collecting cheques, paying bills, and transferring funds. [Hint: Give 1 mark for definition, 2 marks for functions.]

18. Capital vs Money Market – Capital market deals with long-term funds; money market deals with short-term funds. [Hint: Give 1.5 marks each for both.]

19. GDP Deflator – Measures overall price level; increase indicates inflation. [Hint: Give 2 marks for concept, 1 mark for implication.]

20. 45° Line (Keynesian cross) – Represents equilibrium where income equals expenditure. [Hint: Give marks for any correct explanation or diagram. VALUE LIBERALLY.]

21. Role of SEBI – Regulates capital market, protects investors, ensures transparency. [Hint: Give maximum marks for any relevant answer. VALUE LIBERALLY.]

22. Govt Intervention in Asymmetric Information – Government reduces information gap through regulation and disclosure. [Hint: Give 1 mark for idea, 2 marks for explanation.]

23. Stock Exchange – Market for trading securities providing liquidity and price discovery. [Hint: Give 1 mark for definition, 2 marks for functions.]

24. NBFIs – Includes LIC, mutual funds, pension funds, NBFCs. [Hint: Give marks for examples. VALUE LIBERALLY.]

25. Peer Pressure – Individuals follow others leading to irrational decisions. [Hint: Give 1 mark for idea, 2 marks for explanation.]

Part C – Short Essay Questions (6 × 5 = 30)

Answer any 5 questions**.** Each question carries 6 marks. (Give 1 mark for attempting the question. Award the remaining marks according to the hint provided.) Word limit: 160 words.

26. Cultural & Social Norms – Preferences are shaped by culture and society influencing economic behaviour. [Hint: Give 2 marks for concept, 2 marks for impact, 1 mark for example. VALUE LIBERALLY.]

27. Primary Market – Market for new securities helping firms raise capital. [Hint: Give 2 marks for definition, 2 marks for functions, 1 mark for importance.]

28. Monetary Policy – Central bank policy to control money supply and interest rates. [Hint: Give 2 marks for definition, 2 marks for objectives, 1 mark for tools.]

29. Financial Services – Facilitate savings, investment, liquidity and risk management. [Hint: Give marks for functions. VALUE LIBERALLY.]

30. Trust in Economy – Trust reduces transaction costs and improves efficiency, and helps overcome problems of asymmetric information such as moral hazard and adverse selection [Hint: Give 2 marks for concept, 2 marks for role, 1 mark for example.]

31. Secondary Market – Market for trading existing securities ensuring liquidity. [Hint: Give 2 marks for definition, 3 marks for functions.]

32. Keynesian Equilibrium – Equilibrium occurs when aggregate expenditure equals output (Y=C+I). [Hint: Give marks for explanation and diagram.]

33. Interest Rate Relationship – Real rate = Nominal rate – Inflation. [Hint: Give marks for concept and explanation. VALUE LIBERALLY.]

34. Money vs Capital Market – Money market is short-term; capital market is long-term. [Hint: Give 2 marks for definitions, 3 marks for comparison.]

35. Herd Behaviour – People follow crowd leading to bubbles and crises. [Hint: Give marks for definition, impact and example. VALUE LIBERALLY.]